MARKETBEAT

PHOENIX

INDUSTRIAL Q2 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
13.3% Vacancy Rate	▲	▼
5.0M YTD Net Absorption, SF	▼	▲
$1.14 Asking Rent, PSF *(Overall, Net Asking Rent)*	▲	▲

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.6% Phoenix Unemployment Rate	▲	▲
4.2% United States Unemployment Rate	▲	▲

Source:BLS

ECONOMY: STEADY GROWTH AMIDST RISING UNEMPLOYMENT

In Q2 2025, the Phoenix Metro reported an employment level of 2.5 million jobs, while the unemployment rate rose from 3.0% in Q2 2024 to 3.6%. Despite the uptick, the Valley's unemployment rate remained well below the national average of 4.2%, ranking as the fourth-lowest among major U.S. cities with employment exceeding 2.0 million jobs. Population growth persisted, though at a slower pace than in prior quarters, registering a 1.6% year-over-year (YOY) increase. Strong wage gains continued to draw job seekers into the labor force, with median household income rising 3.6% YOY to $91,000. Meanwhile, the Consumer Price Index for the Phoenix area only grew 0.3% YOY, according to the Bureau of Labor Statistics.

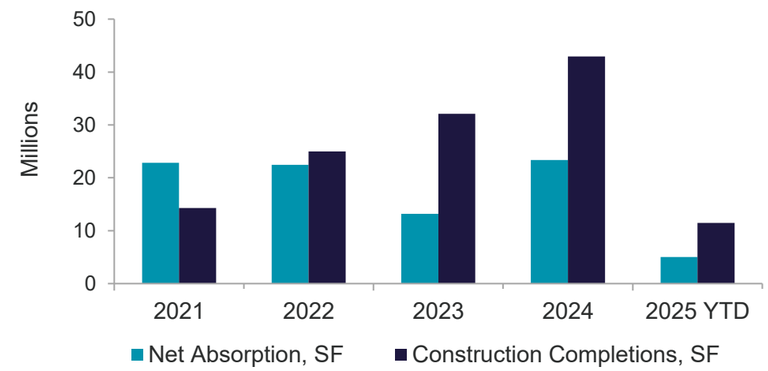
SUPPLY: BIG-BOX STRUGGLES PUSH VACANCY HIGHER

Direct and overall vacancy rose from the first quarter to 12.3% and 13.3%, respectively. This represented a 10-basis-point (bps) surge in both rates from Q1 2025. Vacancy trends have been largely driven by supply growth and spikes in sublease availabilities; however, brief stabilization in the second half of 2024, illustrated Phoenix's ability to maintain market equilibrium via construction pipeline squeezes. 2025's shifting political landscape has challenged that resilience. In particular, submarkets enriched with big-box buildings (over 250,000 square feet (sf)) have struggled to secure large tenants to fill speculative space. The Southeast and Southwest markets, for example, elevated rates by posting overall vacancies of 16.1% and 16.5%, respectively. Conversely, regions with predominantly shallow-bay (under 50,000 sf) buildings–the Northeast Valley–recorded overall vacancy of 6.0%.

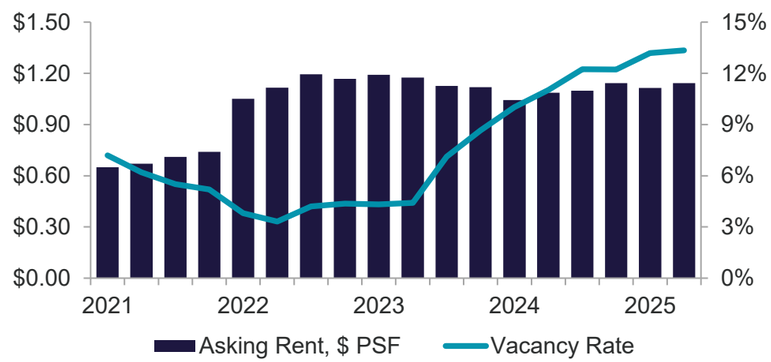
PRICING: ASKING RATES INCREASE DESPITE RISING VACANCY

Both direct and overall asking rents jumped from Q1 2025, matching rates recorded in Q4 2024 of $1.18 per square foot (psf) triple net (NNN) and $1.14 psf NNN, respectively. Overall rental rate hikes reflected a 3.6% quarter-over-quarter (QOQ) and 5.3% YOY climb. All major markets experienced both quarterly and annual NNN asking rate raises, alluding to strong metro-wide demand. The second quarter 2025 concluded with prices ranging from $1.10 psf NNN (warehouse/distribution) to $1.30 psf NNN (office service). Historically, high technology properties have drawn the highest rents, but evolving demand led office service properties to retain top rates by the end of Q2 2025.

SPACE DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT



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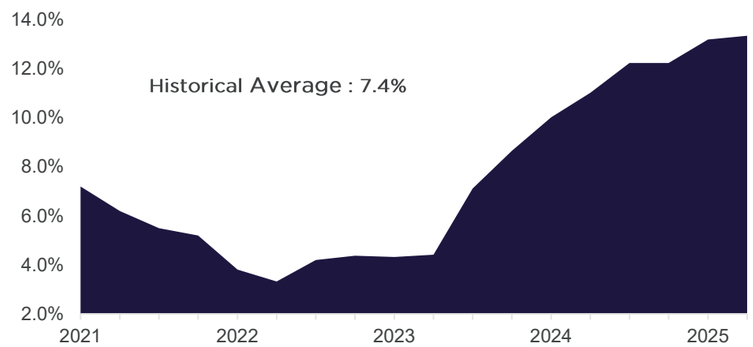
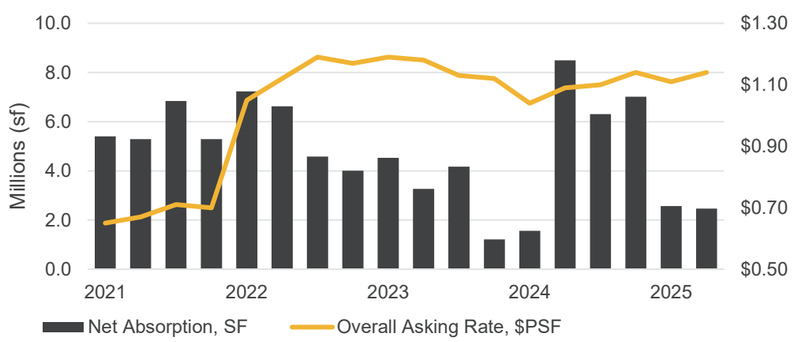
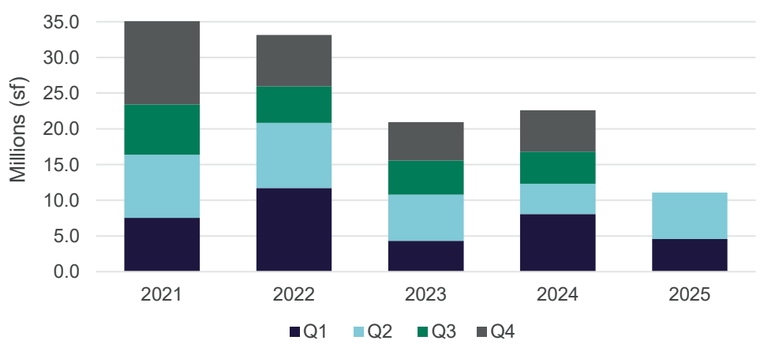
OVERALL VACANCY



ABSORPTION VS. RENT



LEASING ACTIVITY



ACTIVITY: LEASING FLOURISHES DESPITE ECONOMIC HEADWINDS

Despite a relatively slow start in Q1 2025, leasing activity grew 42.0% QOQ and 53.0% YOY to over 6.5 million square feet (msf) in inked leases. The year-to-date (YTD) figure now stands at 11.1 msf, which lay 10.0% lower than the first half of 2024, primarily due to an active Q1 2024 (8.1 msf). Tenant demand in the warehouse/distribution sector continued to account for the largest portion of leasing, representing a staggering 85.9% (5.6 msf) of the second quarter volume. Of the ten largest leases signed during the quarter, nine took place in the Southwest Valley, accumulating to just under 2.9 msf. The Southwest Valley repeatedly wins tenants that are looking to have relatively quick access to Southern California ports without paying high premiums. The influence of third-party logistics (3PL) companies on Phoenix's commercial market show no signs of slowing in the near term. Despite ongoing political turbulence, robust leasing activity in Q2 2025 underscored the enduring strength of Phoenix's industrial market.

ABSORPTION: NET ABSORPTION SLOWS BUT STILL LEADS WEST

Q2 2025 mimicked the first quarter's slow down, recording only 2.5 msf in positive migration to the Phoenix Metro. This brings the YTD total to only 5.0 msf—nearly half that of Q1 and Q2 of 2024. Only two built-to-suits (BTS) delivered during the quarter; a statistic that has previously provided a generous boost in positive absorption over the past five years. Kenco Logistics marked the largest move-in of the quarter, absorbing 642,000 sf of warehouse space at the I-10 Gateway Park. The only submarkets to experience net move-outs were Airport and Northeast. This is likely due to the attraction of newer Class A facilities at discounted rental rates along the Southern regions of The Valley. If the trend for shallow-bay persists, it's likely to see absorption in these markets improve as landlords may cut NNN base rents to compete. Despite historically low absorption levels to start 2025, Phoenix continued to vastly outperform the greater West region's net negative figure of 2.5 msf (Phoenix's net absorption value was included in this figure).

CONSTRUCTION: SOUTHERN VALLEY CONSTRUCTION BACK ON THE RISE

Following a robust year of construction completions in 2024, 2025 has since scaled back on deliveries in effort to curb rising vacancies. Just 3.4 msf delivered during the quarter, bringing YTD completions to 11.5 msf. Approximately 84.0% of Q2 deliveries (2.8 msf) were speculative projects concentrated in the Southeast and Southwest Valleys. Meanwhile, new development activity surged 6.6-fold QOQ, with more than 7.1 msf breaking ground in Q2 2025. Of the new construction, 2.9 msf is located in the Southeast Valley—an area that was recently dominated by the Southwest Valley. Ample space and convenient access to major interstate highways are expected to sustain developer interest across the Southern Valleys.

OUTLOOK

- While the total effect of tariffs remains unclear in the first half of 2025, it's likely that rising construction costs will keep speculative development activity below the post-pandemic average. In the meantime, current inventory may see higher absorption rates as companies increase imported inventory—combating elevated vacancy rates in hyperactive development markets.
- Large leases signed within the quarter, accompanied by the anticipated delivery of over 5.7 msf of BTS projects, are estimated to improve absorption figures throughout the remainder of 2025.
- The advanced manufacturing and high technology sector continues to experience YOY and QOQ increasing absorption levels and development. Large-scale BTS construction activity, especially in the semiconductor and data center sectors, will likely set an emerging precedence not only in Phoenix's commercial real estate realm, but in the it's overall economy.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	OVERALL VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	YTD CNSTR COMPLETIONS (SF)	DIRECT NNN ASKING RATE*	OVERALL NNN ASKING RATE*
Airport	71,444,550	4,460,449	6.2%	-298,788	-7,744	1,153,488	2,175,940	411,154	$1.17	$1.16
Northeast Valley	14,306,854	854,201	6.0%	-63,431	-154,043	237,661	946,654	242,740	$1.44	$1.45
Northwest Valley	58,681,714	4,487,076	7.6%	217,766	397,446	1,349,825	1,012,322	850,677	$1.21	$1.21
Southeast Valley	107,504,893	17,357,769	16.1%	1,234,282	2,430,295	3,257,182	8,624,784	2,074,125	$1.26	$1.20
Southwest Valley	204,782,008	33,629,224	16.4%	1,374,566	2,364,191	5,083,044	6,516,723	7,872,998	$1.02	$0.95
MARKET TOTALS	**456,720,019**	**60,788,719**	**13.3%**	**2,464,395**	**5,030,145**	**11,081,200**	**19,276,423**	**11,451,694**	**$1.18**	**$1.14**

**Rental rates reflect weighted net asking $psf/year*

KEY LEASE TRANSACTIONS Q2 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Litchfield Palms Logistics Park – Bldg. C	Southwest Valley	American Eagle	521,302	Direct
Camelback 303 – Phase I	Southwest Valley	Ball Corp.	514,063	Direct
Commerce @ 303 – Bldg. 1	Southwest Valley	Verst Group Logistics	331,683	Direct
Centris Industrial at Mesa – Bldg. B	Southeast Valley	XNRGY	324,800	Direct
Coldwater Depot Logistics Center – Phase I	Southwest Valley	Freeport Distribution	302,609	Direct

KEY SALE TRANSACTIONS Q2 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Sarival Logistics Center	Southwest Valley	WPT Capital Advisors / EQT Exeter	1,156,860	$128.2M / $111
Sight Logistics Park – Bldgs. 1 & 2	Southeast Valley	ViaWest Properties / CBRE Investment Mgmt.	357,103	$103.1M / $289
Tailwinds at Gateway – Bldgs. 1-10	Southeast Valley	TGD 1 Owner LLC / McCarthy Cook & Co	172,244	$51.5M / $299
Blue Cactus Logistics	Northwest Valley	BlueScopt Properties Group / Hillwood Developement Corporation	257,920	$44.5M / $173
Gateway 202 – Bldg. 4	Southeast Valley	Scannell Properties / Super Radiator Coils	140,000	$42.3M / $302

KEY PROJECTS UNDER CONSTRUCTION

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
LG Energy Solution	Southeast Valley	LG Energy Solution	1,500,000	LG Energy Solution
Meta Data Center	Southeast Valley	Meta	960,000	Meta
Aligned Data Center	Southeast & Southwest Valley	Aligned Data Centers	908,000	Aligned Data Centers

KEY CONSTRUCTION COMPLETIONS Q2 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Olive Logistics Center	Southwest Valley	N/A	1,030,880	Logistics Property Co.
Brickyards on Ellsworth – Bldgs. 1-7	Southeast Valley	Ellis & Company (Bldg. 7)	603,459	Martens Development Company
Formation Park 10 – Phase I	Southwest Valley	N/A	409,600	Urban Logistics Realty

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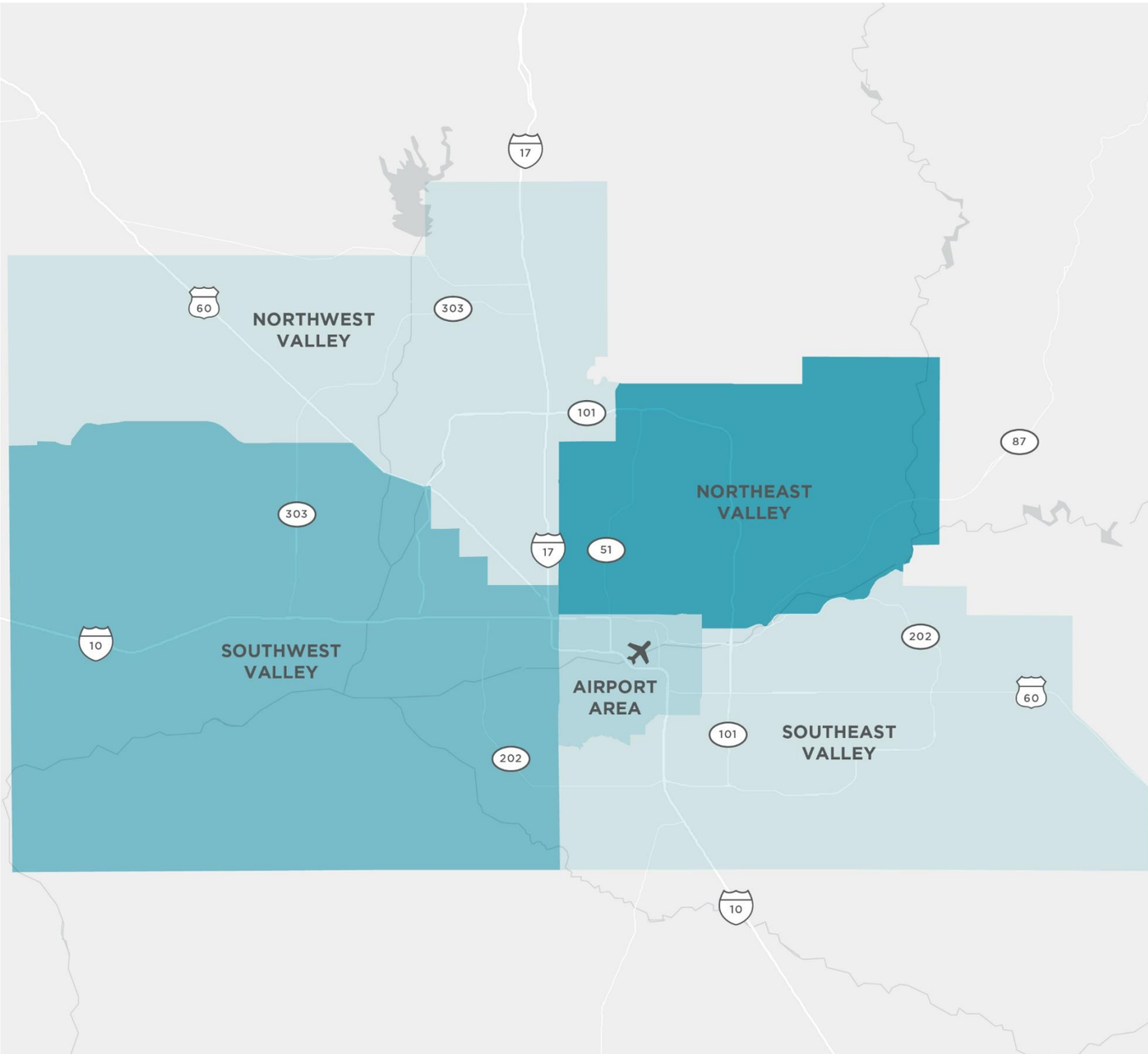
INDUSTRIAL SUBMARKETS



OLIVIA DAVIS
Research Analyst
Tel: +1 303 218 3257
olivia.davis@cushwake.com

JEFF COOLEDGE
Senior Research Manager
Mountain States
Tel: +1 602 224 448
jeffrey.cooledge@cushwake.com

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